

COMMERCIAL QUOTATION · CHACADOM
INVESTMENT

From Testing to the First Token

The commercial quotation for the Karen Waterfront tokenisation: the owner's capital question answered, three start-up structures priced, every statutory, professional and IP cost with its payment date and time needed — and the cheaper way to start.

Prepared for Chacadom Investment

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01. The Question — and the Direct Answers

This quotation covers the regulatory, structuring and intellectual-property cost stack for taking the Karen Waterfront tokenisation from live sandbox testing to a fundable investment product. It answers the three questions the owners asked in one place: can the property itself serve as the capital (the owner is willing); if not, can the asset be listed as an individual token; and what is the genuinely cheaper way to start. Every figure below is either a published statutory fee, an evidenced tax rate, or a clearly-labelled indicative professional estimate — with the payment date and the calendar attached, so the board can see not just what things cost but when the cash leaves.

KES 0.74–1.44M Lean all-in start-up cash via the partner-licence route (excl. offering fee and owner-side asset taxes)	~90 days Realistic time from engagement to the first live token via the same route	KES 10M cash Regulatory capital — only if you take your own licence; property cannot substitute
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Answer one — the property as capital. Yes and no, and the distinction is the single most important planning fact in this document. The owner can absolutely put the property into the issuing vehicle: an asset-for-share contribution to a newly-incorporated SPV, at an independent valuation, is ordinary Kenyan company practice and is precisely how tokenised real estate is structured. What the property cannot do is satisfy the Capital Markets Authority's minimum regulatory capital: the paid-up capital of a licensed tokenisation provider must be liquid, evidenced, unimpaired cash — KES 10 million of it — because regulatory capital exists to absorb liabilities, not to sit in bricks. The cash requirement applies only on the own-licence structures (B and C); it evaporates on the partner-licence route, which is why that route is the cheap start.

Answer two — listing it as an individual token. Yes, and there are two ways to do it. Structure A executes the single Karen Waterfront offering through a partner that already holds a CMA licence (a tokenisation provider, fund manager or REIT manager), so the offering is an individual token on the partner's regulatory rails. Structure B is the same single offering but on your own licence: you first become the licensed tokenisation provider, then seek per-offering approval for Karen Waterfront exactly as you would under the full Option B plan. The end product to the investor is close to identical; the difference is who carries the licence, the capital lock-up and the compliance payroll — and therefore what it costs to reach the first token.

Answer three — the cheaper start-up. Structure A, the partner-licence route. It needs no KES 10 million capital lock-up, no independent systems audit, no licence counsel and no licence application cycle: roughly KES 0.74–1.44 million of structuring, valuation, IP and registration work puts the first token in front of investors about three months later, with the CMA offering-approval fee payable from the raise itself. Structure B — the individual token on your own licence — costs KES 3.2–7.4 million in cash plus the KES 10 million lock-up before the same token can be sold, and roughly seven months of calendar. The full multi-offering platform (Structure C, the Option B end-state in the companion roadmap guide) is the

rational upgrade only once a pipeline of assets justifies carrying the licence economics in-house.

The owners' question	Short answer	Where it costs money
Can the owner contribute the property as capital?	Yes as the asset — asset-for-share into the SPV at independent valuation. No as regulatory capital — CMA minimum capital must be liquid, unimpaired cash.	Stamp duty (4% municipal) and CGT (15%) on the asset going in — structure-dependent; see §02 and §04.
Can it be listed as an individual token?	Yes — via a licensed partner's rails (fast, cheap) or via your own tokenisation licence plus per-offering approval (slow, capital-heavy).	Offering-approval fee 0.25% of the raise (min KES 200,000) on either route; licence stack only on your own paper. See §03 and §04.
What is the cheaper start-up?	Structure A — partner-licence route: no capital lock-up, no systems audit, ~90 days to first token.	KES 0.74–1.44M start-up cash + 0.25% offering fee; partner revenue share negotiated. See §08.

Table 1: The three questions and the three answers at a glance.

02. The Capital Question: Can the Owner Put Up the Property?

The word “capital” is doing two completely different jobs in this conversation, and separating them cleanly is worth more than any other paragraph in this quotation. Company-law capital is the consideration a shareholder subscribes for shares with — and Kenyan law is comfortable with that consideration being non-cash. Regulatory capital is the prudential cushion a licence-holder must permanently maintain — and there the rules are unambiguous about liquidity. Getting the property into the right bucket, and funding the regulatory bucket correctly, is the whole structuring exercise.

2.1 What “putting up the property” actually looks like

The standard architecture for a single-asset tokenisation is a dedicated special-purpose vehicle (SPV). The owner transfers Karen Waterfront into the SPV in exchange for founder equity — an asset-for-share exchange under the Companies Act, 2015. The transfer must rest on an independent professional valuation of the property; the owner's shareholding then evidences his economic interest, and the tokenised offering sells fractional economic interest in the SPV (or in a specific class of its shares) to investors. Investors' money lands in the SPV, the SPV applies it to the project or distributions, and the tokens represent claims against a vehicle whose entire balance sheet is one understood, disclosed, independently-valued asset. This structure works on every route — partner licence or own licence — and the owner's willingness to contribute the asset is exactly what makes a single-token offering viable without the company first having to buy the property off him.

2.2 Why the property cannot be the regulatory capital

The CMA licence conditions for a tokenisation provider require minimum paid-up share capital of KES 10,000,000 and liquid capital of not less than KES 2,000,000 or 8% of total liabilities, whichever is higher. Under the 2025 capital-markets licensing framework that capital must be evidenced at application, must remain unimpaired at all times, may not be advanced to directors or related parties, and is reported monthly on risk-based capital adequacy returns. Those conditions describe a liquid buffer that can absorb operating liabilities and client claims on demand — the opposite of a building. A contributed property would simultaneously fail the evidence test (no bank confirmation), the liquidity test (it cannot meet a call), and the impairment test (it is neither readily realisable nor divisible). The practical translation: if and when you take your own licence, the KES 10 million must be funded in cash alongside the contributed asset. It is working capital the company still owns — not a fee, and recoverable if the licence is surrendered — but it must be actually funded, and it cannot be the owner's house.

	Company share capital (Companies Act)	Regulatory capital (CMA licence)
What it is for	Ownership consideration — founder equity in the SPV	Prudential cushion — client/liability protection
Can property count?	Yes — asset-for-share exchange at independent valuation	No — must be liquid, evidenced, unimpaired cash
Amount driven by	The valuation of Karen Waterfront and the agreed founder split	Fixed minimum: KES 10M paid-up + KES 2M/8% liquid
Who checks it	Company secretary; conveyancer on transfer	CMA at application; monthly capital-adequacy reporting after
Locked?	No — the equity is the owner's to hold, pledge or (subject to docs) sell	Yes — maintained at all times; not returnable while licensed
Applies to which structure	A, B and C — every route needs the asset in the SPV	B and C only — the partner-licence route avoids it entirely

Table 2: One word, two meanings — the asset goes into share capital, never into regulatory capital.

2.3 The taxes that do attach when the property moves

Contributing the property is a disposal for tax purposes, and the board should see those numbers before any structure is signed, because they are material on an asset of this scale and they are owner-side costs on every route. Stamp duty is chargeable on the transfer instrument at 4% of market value where the property sits in a municipality — Karen, Nairobi, is municipal — or 2% outside municipalities, payable to the Collector of Stamp Duties on presentation for registration; on a KES 300 million valuation the municipal charge is KES 12 million. Capital gains tax is a final 15% on the net gain of the transferor, though an asset-for-share exchange may qualify for rollover relief under the reorganisation provisions of the Ninth Schedule to the Income Tax Act — the gain is deferred into the base cost of the shares rather than forgiven — subject to conditions and KRA practice that tax counsel must confirm for this specific fact pattern. Structuring alternatives (an undivided-share sale, a long lease contribution, or phasing the asset in) move these numbers around and are exactly the conversation to have with counsel in month one; the figures in this quotation assume the direct asset-for-share contribution and flag the alternatives rather than price them, because the right answer depends on the owner's base cost, timeline and appetite, not on a formula.

Verdict: the property goes in as the asset — yes, planned, at independent valuation, with stamp duty and CGT modelled before signature. The property does not go in as the regulatory capital — no route, no structure, no wording changes that. The KES 10M cash requirement exists only on your own licence; the partner-licence route removes it from the start-up balance sheet entirely.

03. The Three Start-Up Structures

Three credible ways exist to stand the Karen Waterfront token up. They differ in who holds the licence, how much cash leaves before the first token, how long the calendar runs, and who keeps control of the investor relationship. The comparison below prices each honestly — including the costs the other quotations forget to mention: the capital lock-up that comes back but must be funded, and the offering-approval fee that is paid per raise on every route.

3.1 Structure A — the partner-licence route (the cheap start)

Chacadom remains the originator, arranger and asset manager: it incorporates the SPV, receives the owner's contributed property, prepares the disclosure document and the investment case, and runs the investor channel. The regulated execution — issuance, custody of investor funds, token registry, AML onboarding — is contracted to an already-licensed operator: a CMA-licensed tokenisation provider, fund manager or REIT manager executing the Karen Waterfront offering as an individual token under its own licence and compliance stack. The partnership is priced commercially: typically an arrangement fee and/or an ongoing revenue share on the raise (market indications 1–3%, fully negotiable), plus the partner's trustee/custody costs. What you buy with that share is the entire regulatory stack you did not have to build: no KES 10M lock-up, no independent systems audit, no penetration test, no licence counsel, no application cycle. The offering-approval fee still applies, because CMA approves the offering itself whoever holds the licence — but that fee is a percentage of a successful raise and is normally funded out of raise proceeds. First token: approximately ninety days from engagement. The strategic trade is real but reversible: you are renting the rails, not owning them — and the Option B graduation plan (your own licence) remains exactly one financing round away whenever the asset pipeline justifies it.

3.2 Structure B — own licence, one individual token

This is the literal reading of “list it as an individual token” on your own paper. Chacadom incorporates the licensing entity, funds the KES 10 million paid-up capital, passes the fit-and-proper and governance tests, commissions the independent audit of the tokenisation systems and the penetration test, assembles the full dossier, and secures the tokenisation provider licence — then files for per-offering approval of the single Karen Waterfront token. The licence is reusable: every later asset rides on the same licence with only a per-offering filing, which is why this structure is the correct one when two or three more assets are visibly coming. The cash stack before the first token: KES 3.2–7.4 million of professional and statutory cost plus the KES 10 million lock-up, and roughly seven months of calendar, the detailed phasing of which is the companion roadmap guide's five-phase plan.

3.3 Structure C — the full platform (the Option B end-state)

The multi-offering business: your own licence plus an issuance platform, secondary-trading rails, an in-house compliance function and the capital stack that comes with platform-scale ambitions. This is where the roadmap guide's full budget scenarios live (KES 5.8–11.9 million of set-up cash plus the KES 10M lock-up, and KES 25M if a token-issuance platform licence is stacked later). It is the correct end-state for a pipeline business — and the wrong first purchase for a single flagship asset. The recommended sequence is A now, B when the second asset is under mandate, C when the pipeline funds the payroll.

	A — Partner licence	B — Own licence, one token	C — Full platform
Start-up cash (excl. owner-side asset taxes)	KES 0.74–1.44M	KES 3.24–7.44M	KES 5.84–11.94M
Regulatory capital lock-up	None	KES 10M (funded, maintained)	KES 10M now; KES 25M if platform licence stacked
Time to first token	~90 days	~7 months	~8–10 months
Systems audit + pen test	Not required (partner's stack)	Required, before application	Required + platform build
Offering-approval fee (per raise)	0.25% (min KES 200k) — same on all routes	0.25% (min KES 200k)	0.25% (min KES 200k)
Annual licence burden	None of your own	KES 500k or 0.15% turnover + compliance reporting	Same + platform ops + compliance payroll
Control of investor relationship	Shared with partner (contracted)	Full	Full
Suits	First token, cheapest start, prove the model	A second asset already under mandate	A pipeline business carrying its own rails

Table 3: The three structures compared — cash, lock-up, calendar and control.

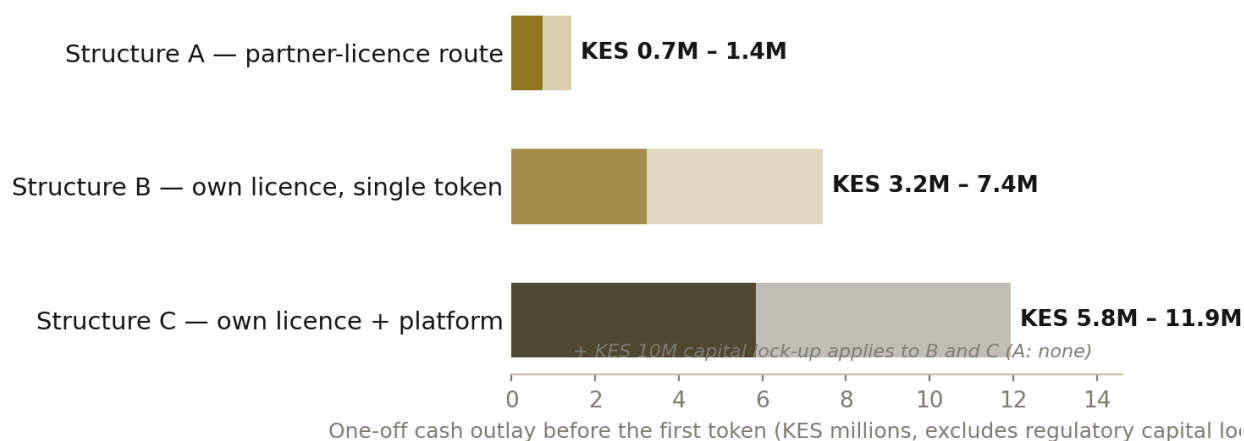


Figure 1: One-off cash outlay before the first token by structure — the partner-licence route starts for less than a seventh of the own-licence cash, and carries no capital lock-up. Ranges are indicative professional midpoints plus statutory fees; asset taxes excluded (owner-side, structure-dependent).

04. Statutory and Regulatory Fees — and Exactly When Each Is Paid

This is the master fee schedule. Every published fee the programme touches is listed with its amount, the payment trigger, and the programme month it falls due, under the recommended sequencing. Statutory fees are certain — they are regulation, not negotiation — but their timing is what cash-flow planning actually needs, so the “when payable” column is written in payment-trigger language, not in vague phase language. “A/B/C” marks which structures a fee attaches to; the sandbox application fee is shown for completeness because it has already been paid at entry.

Fee / levy	Amount	When payable (trigger)	Month	Route
CMA sandbox application	KES 10,000	On submission of the sandbox application — already paid at entry (non-refundable)	Historic	All
Sandbox cohort participation	Nil	No fee during testing; reporting obligations only	—	All
Sandbox exit / graduation report	Nil	No exit fee; the graduation report itself is a deliverable, not a charge	M1–M2	All
Company name search (BRS)	KES 150	On eCitizen filing, before incorporation	M1	All
SPV incorporation (BRS)	~KES 15,000	On filing the incorporation documents (private company, share capital)	M1	All
CR12 / certified extracts (BRS)	~KES 650 each	On request — needed for CMA fit-and-proper files and bank KYC	M1–M2	All
ODPC data-controller registration	KES 4,000	On registration (mandatory before processing investor data); renewal KES 2,000/yr	M1	All
KIPI TM27 search (per mark per class)	KES 3,000	On filing the search request, before the TM2 application	M1	All
KIPI TM2 application (first class)	KES 4,000	On filing the application; subsequent classes KES 3,000 each	M1	All
KIPI advertisement + registration (per class)	KES 5,000	At advertisement after examination, then on issuance of the certificate	M4–M8	All
Stamp duty — property into SPV	4% of market value (municipal: Karen, Nairobi)	On presentation of the transfer instrument for registration at the Lands Registry; before the SPV can hold registered title	M2–M3	All (owner-side)
CGT — property into SPV	15% of net gain (final tax)	On the transfer, via the KRA iTax return before registration; rollover relief may defer — counsel to confirm	M2–M3	All (owner-side)
CMA tokenisation licence application	KES 100,000	On submission of the licence application (non-refundable)	M3	B/C only

Fee / levy	Amount	When payable (trigger)	Month	Route
CMA tokenisation licence fee	KES 500,000	On grant of the licence, before commencement	~M5–M6	B/C only
CMA annual licence renewal	KES 500,000 or 0.15% of gross turnover, whichever is greater	Each anniversary of grant, with the annual return	Yearly	B/C only
CMA offering approval (per offering)	0.25% of successful offering value; min KES 200,000; cap KES 30M	On approval of the offering — practically funded from raise proceeds; a KES 300M Karen Waterfront raise pays KES 750,000	M3 (A) / ~M6 (B)	All
BRS annual return	~KES 100	With the company's annual return	Yearly	All

Table 4: Master statutory schedule — amounts, triggers, months and routes. Statutory figures as published/checked August–September 2026; professional estimates excluded (§05).

Three reading notes keep this table honest. First, the two owner-side items — stamp duty and CGT — are not fees the programme pays the regulator; they are taxes on the asset moving into the SPV, they are material at this asset value, and they are the numbers most sensitive to structuring choices made with counsel in month one (§2.3). Second, the offering-approval fee is a percentage of a successful raise, not of a plan: it is paid per offering on every route — including the partner route, because CMA approves the offering itself — and it is conventionally deducted from raise proceeds, so it is working capital on the way in rather than a cash call on the way before. Third, the licence-cycle fees (application, licence, renewal) attach only to structures B and C: on the recommended Structure A they are the partner's problem, priced into the negotiated revenue share rather than paid à la carte.

The cheapest fact in this quotation: the sandbox years have already been paid for — KES 10,000 at entry, nothing during testing, nothing at exit. The expensive fact: the asset's own transfer taxes (4% + 15% of the gain) are larger than every other statutory item combined, and they are owed on every route. Model them with counsel before any signature.

05. Professional Services and Third-Party Costs — with Timing

Professional fees are the largest controllable cost block, and the least certain: they are market prices, not statute. The ranges below are planning midpoints for Nairobi counsel and audit firms of the quality a CMA file demands, stated so the board can sanity-check quotes — not so the quotes can be skipped. Every line carries its engagement trigger, because a professional bill, like a statutory fee, has a payment date.

Workstream	Indicative cost (KES)	When engaged / billed	Route
Legal structuring + partner agreement (SPV, asset-for-share, partner-licence terms, disclosure document)	400,000 – 900,000	Engaged M1 on signing; typically 50% on instruction, balance on completion of the offering documents (~M2–M3)	A
Licensing counsel — full licence application (dossier, fit-and-proper, policies, regulator responses)	1,500,000 – 4,000,000	Engaged M1–M2; staged billing across the application cycle to M5	B/C
Independent property valuation	150,000 – 350,000	Instructed M1; billed on issuance of the valuation report (~M2) — the report underwrites both the SPV contribution and the disclosure document	All
Independent audit of tokenisation systems	500,000 – 1,500,000	Engaged M2–M3; billed on report issuance pre-application	B/C
Penetration test + security assurance	300,000 – 800,000	Engaged M3; billed with the systems-audit cycle	B/C
AML/CFT framework + onboarding manual	250,000 – 600,000	M2–M3 with counsel (on route A the partner's framework governs; a light desk-level version still recommended)	A (light) / B/C (full)
Opening audit + accountant set-up	150,000 – 400,000	M2–M3; and annually thereafter	All
Company secretary (SPV + licensing entity)	60,000 – 120,000 /yr	Monthly retainer from M1	All
DPO service (or in-house officer)	60,000 – 150,000 /yr	From M1, alongside ODPC registration	All
Partner's trustee / custody economics	Typically ~0.05–0.10% of asset value p.a. or contracted share	Per the partner agreement; usually from raise proceeds and ongoing asset fees	A

Workstream	Indicative cost (KES)	When engaged / billed	Route
Partner arrangement / revenue share	Market indications 1–3% of the raise, fully negotiable	Per the partner agreement — usually success-based from raise proceeds	A

Table 5: Professional and third-party workstreams — indicative ranges with engagement and billing triggers. Obtain firm quotes before budgeting; these are planning midpoints, not offers.

Two disciplines convert this table into money saved. First, scope the valuation, the disclosure document and the partner agreement as one instruction: three documents that tell one story cost less when one counsel writes them, and the CMA reading of the offering will be materially smoother when the valuation the SPV relies on is the same one the disclosure discloses. Second, on route A resist the temptation to buy B-route artefacts “for later”: the systems audit and penetration test certify a specific platform configuration, and the partner's platform is what will actually run the offering — re-buying them against your own future stack is a B-month expense, not an A-month one. The upgrade path carries its own calendar and its own budget line in the companion roadmap guide, and nothing in a disciplined A-start forecloses it.

06. Trademarks and Intellectual Property — the Full Cost Stack

IP is the cheapest line in the budget and the most expensive thing to get wrong, because the brands that carry the offering — Chacadom, Keja, the Karen Waterfront token name itself — become investor-facing assets the day the offering goes live. Filing early is not caution; it is price. A Kenyan mark filed before public launch secures convention priority for six months across the Madrid System, converts enforcement from argument into registration, and costs less than one hour of partner-fee dispute later.

6.1 KIPI official fees — the schedule, line by line

The official Kenya Industrial Property Institute fees are published and modest; the quotation-relevant question is again timing, because the examination and advertisement stages have calendar gaps during which nothing is payable and nothing can be accelerated. The figures below are the per-mark, per-class checkpoints: a local applicant plans roughly KES 12,000 per class all-in for search plus application plus advertisement plus registration; a foreign applicant (or a local applicant filing through an agent with foreign priority) plans roughly USD 610 equivalent per class including the mandatory TM1 agent appointment.

KIPI item	Local applicant	Timing
TM27 search and preliminary advice (per mark per class)	KES 3,000	On filing — M1, before any TM2
TM1 appointment of agent (foreign applicants only)	KES 1,000	On filing, with the TM2
TM2 application — first class	KES 4,000	On filing — M1, immediately after a clear search
TM2 application — each subsequent class	KES 3,000	On filing, in the same application
Advertisement of acceptance (per class)	KES 3,000	After examination passes — typically 3–5 months after filing
Registration / certificate (per class)	KES 2,000	After the 60-day opposition window clears
Planning total — one class, search to certificate	~KES 12,000	Official fees only; agent fees separate
Renewal (per mark per class, every 10 years)	KES 5,000	Every 10th anniversary; diarise 3 months ahead

Table 6: KIPI official fee checkpoints (checked August–September 2026). Agent professional fees — drafting, filing, prosecution — run separately at KES 15,000–40,000 per mark.

6.2 What this programme should actually file

Three marks, three classes each, is the disciplined minimum. The marks: the corporate brand (Chacadom), the platform brand (Keja / Keja.ai), and the token name itself — the investor-facing name the Karen Waterfront tokens will trade under, which should be chosen, searched and filed before the disclosure document prints it. The classes: Class 36 (financial and monetary affairs — tokenised securities, investment services, real-estate affairs), the primary class for the offering; Class 42 (scientific and technological services — the software platform); Class 35 (advertising, business administration, marketplace services); and Class 9 (downloadable software and apps) for the investor-facing products. The budget at official rates: three marks × three classes at ~KES 12,000 planning per class = KES 108,000, plus agent prosecution at KES 15,000–40,000 per mark = KES 45,000–120,000 — an all-in trademark programme of roughly KES 150,000–230,000, spread from a month-one filing date to certificates around month eight.

6.3 The remaining IP stack — copyright, domains, Madrid

Copyright in the platform code, the disclosure documents and the marketing assets arises automatically on creation; the work is evidentiary and contractual, and costs nothing but discipline — dated repositories, assignment clauses in every development engagement, IP warranties in the partner agreement, and copyright notices on the offering documents themselves. Domains are the cheapest defensive move on the list: the .ke domains for each brand and the obvious token-name variants through a KeNIC-accredited registrar at roughly KES 1,000–3,000 per domain per year, registered in month one, before the token name is announced. International protection runs through the Madrid Protocol from the Kenyan base: an international application designating chosen territories must be presented through KIPI within six months of the base filing to preserve convention priority, with WIPO's fees per class per designated country — the correct posture for a Kenya-first offering is to secure the base registrations now, track the six-month window, and extend internationally only when investors or listings actually carry the brand abroad. Budget Madrid at zero today and revisit it with the raise.

IP line	Cost	When payable	Notes
Trademark programme — 3 marks × 3 classes (official)	KES 108,000	M1 filing (TM2 + search ~KES 63,000); balance at advertisement/registration M4–M8	Classes 36, 42, 35 (+9 optional)
Agent prosecution (3 marks)	KES 45,000 – 120,000	Per the agent's terms — typically on filing and on registration	Drafting, filing, prosecution
.ke domains (3–6 domains)	KES 3,000 – 18,000 /yr	M1, on registration	Defensive variants around the token name
Copyright + contracts hygiene	Nil (discipline)	—	Assignment clauses, dated repos, notices
Madrid extension (optional, later)	WIPO fees per class per country	Within 6 months of base filing to keep priority	Kenya-first: hold, track the window
Watching brief / opposition (optional)	Agent retainer or per-incident	Ongoing from advertisement	Opposition inside the 60-day window is the cheap enforcement

Table 7: The complete IP cost stack — roughly KES 150,000–230,000 all-in for the marks that carry the offering, filed early because early is what makes them strong.

07. Timeline — the Time Each Route Needs

Time is quoted here the way fees are quoted in §04: per workstream, with the trigger and the calendar. The partner-licence route runs approximately ninety days from engagement to a live token because every slow external dependency of the own-licence route — the application cycle, the systems audit, the capital evidence — is already someone else's finished work. The own-licence route runs approximately seven months for the same offering plus a reusable licence. Both clocks start on engagement, not on decision: the valuation, the trademark filings and the SPV all take a month regardless of route, which is why month one is identical on every path.

7.1 Structure A — the 90-day plan (recommended start)

Window	Workstreams	Cash events in the window
Month 1	Structure decision with counsel; SPV incorporated; valuation instructed; TM27 searches + TM2 filings; ODPC registration; partner shortlist and term sheets	SPV + BRS items (~KES 16,000); ODPC (KES 4,000); TM filings (~KES 63,000 on filing); valuation 50% on instruction; counsel 50% on instruction; company secretary retainer starts
Month 2	Valuation report issued; asset-for-share transfer executed (stamp duty + CGT events); disclosure document drafted; partner agreement negotiated and signed	Stamp duty (4% municipal) + CGT (15% of gain) on registration; valuation balance; counsel progress billing
Month 3	Offering document finalised; CMA offering approval filed through the partner's licence; approval received (typical review ~2–4 weeks on a complete file); token issuance and investor onboarding	Offering-approval fee 0.25% of the raise (min KES 200,000) — funded from raise proceeds; partner arrangement share per the agreement
Month 4+	Ongoing: distributions/reporting, secondary activity on the partner's rails, asset management, IP prosecution to certificates (~M8), renewal calendar live	Annual items: ODPC renewal, BRS return, company secretary, DPO, domains; trademark advertisement/registration balance (M4–M8)

Table 8: Structure A — the 90-day plan with its cash events. Critical path: partner selection and the CMA offering review; both are calendar, not money.

7.2 Structure B — the ~7-month plan (own licence + one token)

Window	Workstreams	Cash events in the window
Month 0–1	Sandbox close-out: final test objectives, graduation report, pre-application meeting with CMA; structure decision	Graduation report — no fee; sandbox exit — no fee
Month 1–2	Licensing entity confirmed; KES 10M paid-up capital funded and evidenced; board reconstituted (3+, one-third independent); counsel, auditors, security testers and trademark agent engaged; TM2s filed; ODPC done	Capital KES 10M funded (lock-up begins); licensing counsel engagement; TM filings; BRS/ODPC items
Month 2–4	Full dossier assembled (§5.8 of the roadmap guide); independent systems audit; penetration test; AML/CFT and operating policies finalised; application submitted	Systems audit + pen test billed on reports; AML framework; CMA application fee KES 100,000 on submission (~M3–M4)
Month 4–5	Regulator queries and interviews; determination (target ~30 days on a complete file)	Counsel response-cycle billing
Month 5–6	Licence granted — fee paid, commencement clock starts (must commence within 12 months); offering document filed for per-offering approval	Licence fee KES 500,000 on grant; offering-approval fee 0.25% on approval
Month 6–7	First token live: investor onboarding, issuance, registry and custody live on own rails	Opening audit; launch costs; annual cycle begins

Table 9: Structure B — the seven-month plan. The licence is the reusable asset; the calendar is the price of building it. Detailed phasing in the companion CMA Authorization Roadmap guide.

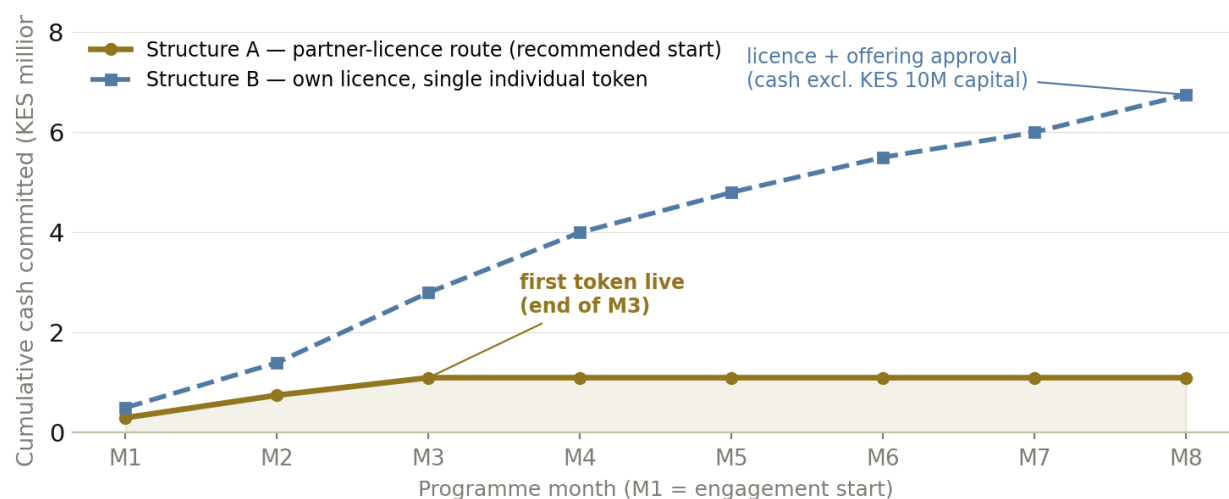


Figure 2: Cumulative cash committed by programme month. The partner-licence route (gold) is cash-complete at month three with the offering fee funded by the raise; the own-licence route (blue) draws cash through month seven and separately locks up KES 10M from month two.

08. Budget Summary and Payment Plan

Two budgets, honestly built. The lean budget executes the recommended Structure A to a live Karen Waterfront token. The licence budget executes Structure B. Both exclude the owner-side asset taxes (stamp duty and CGT — asset- and structure-specific, modelled with counsel before signature) and both include the offering-approval fee, which is paid per raise on every route but is conventionally funded from raise proceeds and is therefore working capital, not pre-raise cash.

8.1 Structure A — the lean start-up budget

Item	Amount (KES)	Paid
Legal: SPV + asset-for-share + partner agreement + disclosure document	400,000 – 900,000	50% M1 on instruction; balance on document completion (~M3)
Independent valuation	150,000 – 350,000	50% M1; balance on report (~M2)
Trademark programme — 3 marks × 3 classes, all-in (official + agent)	150,000 – 230,000	M1 filing (~KES 108–183k incl. agent on-filing); balance M4–M8
SPV incorporation, BRS items, ODPC, domains	~25,000 – 40,000	M1 on filing
Company secretary + DPO (year one)	120,000 – 270,000	Monthly from M1
AML/CFT desk-level framework (light, route A)	250,000 – 600,000	M2–M3
Start-up cash — range	745,000 – 1,440,000	Front-loaded into M1–M3 per the columns above
Offering-approval fee (KES 300M raise example)	750,000	On approval, M3 — funded from raise proceeds
Partner arrangement / revenue share	1–3% of raise (negotiated)	Success-based, from raise proceeds

Table 10: Structure A lean budget — under KES 1.5M of pre-raise cash takes the first token live in ~90 days; the raise then carries its own transaction costs.

8.2 Structure B — the licence budget

Item	Amount (KES)	Paid
Licensing counsel (full application)	1,500,000 – 4,000,000	Staged M1–M5 across the application cycle
Systems audit + penetration test	800,000 – 2,300,000	On report issuance, M3–M4, pre-application
Valuation + AML/CFT + opening audit + set-up items	550,000 – 1,350,000	M1–M3 per workstream
Trademark programme (as route A — the IP stack is identical)	150,000 – 230,000	M1 filing; balance M4–M8
CMA application fee + licence fee	600,000	KES 100,000 on submission (~M3); KES 500,000 on grant (~M5–M6)
Pre-token cash — range	3,240,000 – 7,440,000	Spread M1–M6
Regulatory capital (lock-up, not a fee)	10,000,000	Funded by ~M2; evidenced at application; maintained while licensed
Offering-approval fee (KES 300M raise example)	750,000	On approval, ~M6 — funded from raise proceeds

Table 11: Structure B licence budget — the licence is reusable for every later offering; the companion roadmap guide prices the full platform end-state (Structure C).

8.3 The payment plan, month by month

Milestone	Amount (KES)	Due
On acceptance — engagement deposits (counsel, valuation, agent; ~50% of instruction values)	~330,000 – 660,000	On signing; secures the M1 filings and instructions
M1 filings — SPV/BRS, ODPC, TM2s + searches, domains	~130,000 – 220,000	On filing, month one
M2–M3 — asset transfer taxes (stamp duty 4% + CGT 15% of gain)	Asset-specific	On registration of the transfer — modelled with counsel before signature
M2–M3 — professional progress billing (route A balance)	~415,000 – 825,000	On completion of the disclosure documents / partner agreement
M3 — offering-approval fee (route A)	750,000 (300M example)	On CMA approval of the offering — from raise proceeds
Year-one standing costs (secretary, DPO, domains, ODPC renewal, BRS)	~180,000 – 400,000	Monthly/annual from M1
(Route B) — licence-cycle cash incl. KES 10M capital	3.24M – 7.44M + 10M lock-up	Per Table 11 across M1–M6

Table 12: The payment plan — every cash call in the programme with its due date.

The board-level summary: for less than KES 1.5 million of pre-raise cash and ninety days of calendar, the owners' willingness to contribute the property plus one licensed partner equals a live, CMA-approved, individually-tokenised Karen Waterfront offering — with the full own-licence upgrade (Option B as originally planned) available at the next asset, financed by a proven raise instead of paid for in advance.

09. Assumptions, Validity and Terms

This quotation is a planning instrument, and it behaves like one. Statutory figures are as published and checked in August–September 2026 and can change by regulation. Tax outcomes are structure- and fact-specific: the stamp-duty and CGT lines in particular depend on the valuation, the owner's base cost and the final contribution structure, and nothing in this document is tax or legal advice — counsel confirms the numbers before any signature. Professional-fee ranges are indicative Nairobi market midpoints for work of this grade, included so quotes can be sanity-checked, not replaced.

- **Statutory fees** — CMA, KIPI, ODPC, BRS figures are published rates checked August–September 2026; regulation can amend them.
- **Taxes** — stamp duty (4% municipal / 2% outside) and CGT (15% final) are owner-side, structure-dependent; rollover relief under the Ninth Schedule may apply to an asset-for-share exchange — tax counsel to confirm on the actual facts.

- **Professional fees** — indicative planning ranges; firm quotes required before budgeting; staged billing per \$05/\$08.
- **Capital** — the KES 10M minimum paid-up capital on routes B/C is regulatory working capital, evidenced and maintained, not a fee; it applies only to your own licence.
- **Offering figures** — the KES 300M raise and 0.25% fee example is illustrative; the fee follows the actual successful offering value (min KES 200,000).
- **Companion document** — requirements, governance, the full dossier and the platform end-state live in the CMA Authorization Roadmap: Option B guide; this quotation prices the start, that guide prices the destination.
- **Validity** — 30 days from issue; pricing reviewed on request thereafter.
- **Payments** — M-Pesa or bank transfer on the milestone schedule in Table 12; third-party statutory fees are paid direct to the regulators where the process allows.

Acceptance

To accept this quotation and start the 90-day programme, sign below and remit the engagement deposits per §8.3; work begins on receipt of both. The first visible outputs — the incorporated SPV, the instructed valuation, the filed trademark applications and the shortlisted partners — land within the first month.

For and on behalf of Chacadom Investment

Prepared by

Name: _____

Name: Victor Ndunda

Title: _____

Software Engineer — AI & Web Platforms

Signature: _____

Signature: _____

Date: ____ / ____ / ____

Date: 3 September 2026

After you sign

- Kickoff within 24 hours — structure call with counsel, valuation instructed, SPV name reserved the same day.
- Weekly visibility — filing receipts, the valuation, the partner term sheets and the CMA offering file as they happen.
- Token live at day ~90 — investor onboarding opens on the partner's licensed rails, with the offering-approval fee paid from the raise.

Questions before signing — reach out any time via the Chacadom client desk; happy to walk through the structures, the fee table or the companion roadmap guide with the board.